

2,175

S&P 500 record high,
July 2016; S&P 500 closes
above 100 for the first
time on June 4, 1968

HOW TO INVEST

- › **Take a DIY approach** This is an investment method in which an investor, without professional advice, builds and manages his or her own investment portfolio.
- › **Consult a financial advisor** This is a professional who can give advice on which assets to buy and when, based on goals and risk tolerance.
- › **Buy from a fund supermarket or discount broker** These financial companies offer "execution-only" services, without advice, allowing individuals to buy and sell shares or funds.
- › **Invest in a fund company** These investment firms spread risk by pooling investors' money and buying units in a fund that invests in a number of companies.

Dollar cost averaging

Also known as unit cost averaging, dollar cost averaging is the practice of buying a fixed monetary amount of an investment gradually over time, rather than investing the desired total in one lump sum. This strategy can reduce the average cost per share of an investment as more units may be purchased when the price is low, and fewer when the price is high. See pp.190–191

- › Dollar cost averaging is also known as "drip feeding" money
- › Using this approach means that investors don't have to monitor market movements and time their investments strategically.
- › Most investment companies offer regular savings plans that allow investors to take advantage of dollar cost averaging, also enabling them to save a little at a time.



Risk tolerance/risk-return trade-off

The possibility of losing some or all of a capital investment is risk. An acceptable level of risk must be decided before investments are chosen. See pp.192–193



- › All investments carry a degree of risk, but some have the potential to be much riskier than others.
- › A financial advisor can help to build a portfolio to match an investor's risk tolerance.

The optimal portfolio

A portfolio in which the risk-reward combination yields the maximum returns possible is known as an optimal portfolio. Optimal portfolios differ between investors with different attitudes to risk. See pp.194–195



- › Portfolio "weight" is the percentage of a particular holding in a portfolio.
- › Investors should reassess and rebalance their portfolios annually.